SUBCONTRACT AGREEMENT: CONGRESS AVENUE OFFICE TI

This Subcontract Agreement (this "Subcontract") is made and entered into as of March 16, 2026 (the "Effective Date"), by and between Meridian Builders, Inc., a California corporation registered to do business in the State of Texas, with its principal office at 1450 Harrison Street, Suite 300, Oakland, California 94612 ("Contractor"), and Lone Star Mechanical, LLC, a Texas limited liability company with its principal office at 2100 Sundance Parkway, Building C, Round Rock, Texas 78681 ("Subcontractor").

Contractor has entered into a prime contract dated February 9, 2026 (the "Prime Contract") with Brazos Property Partners, LP, a Texas limited partnership ("Owner"), for the construction of the tenant improvement project known as Congress Avenue Office TI, located at 800 Congress Avenue, Austin, Texas 78701 (the "Project"). The Project is a private commercial project. It is not a public work and is not owned by or constructed for any governmental entity.

Subcontractor represents that it holds Texas Department of Licensing and Regulation Air Conditioning and Refrigeration Contractor License No. TACLA48172C and that its responsible master plumber holds Texas State Board of Plumbing Examiners License No. RMP-40936. Subcontractor will maintain both licenses in good standing for the duration of the Subcontract Work.

In consideration of the mutual promises below, Contractor and Subcontractor agree as follows.

ARTICLE 1 — DEFINITIONS AND CONTRACT DOCUMENTS

1.1 Defined Terms. Capitalized terms have the meanings given in this Subcontract. "Subcontract Work" means all labor, materials, equipment, supervision, and services required by the Subcontract Documents for the scope described in Article 2. "Final Completion" means the stage at which all Subcontract Work is complete, all punch list items are corrected, all closeout deliverables required by Article 2 have been accepted by Contractor, and the Architect has accepted the Subcontract Work. "Architect" means Halvorsen Pike Architects, PLLC, of Austin, Texas.

1.2 Subcontract Documents. The Subcontract Documents are this Subcontract, including its Exhibit; the Prime Contract, to the extent it applies to the Subcontract Work; the Drawings and Specifications prepared by the Architect and its mechanical, electrical and plumbing engineer and issued for construction on February 2, 2026; all addenda issued before the Effective Date; and all modifications issued after the Effective Date under Article 9. Contractor will make the Prime Contract available to Subcontractor for review on request. Pricing terms of the Prime Contract may be redacted.

1.3 Flow-Down. As to the Subcontract Work, Subcontractor assumes toward Contractor the same obligations that Contractor assumes toward Owner under the Prime Contract. Subcontractor also has the benefit of the rights and remedies that Contractor has against Owner, to the extent those rights relate to the Subcontract Work and do not conflict with this Subcontract.

1.4 Order of Precedence. If the Subcontract Documents conflict, this Subcontract governs over the Prime Contract. Within the Drawings and Specifications, the more stringent requirement governs unless the Architect directs otherwise in writing.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 General Scope. Subcontractor will furnish and install the complete heating, ventilating and air-conditioning systems and the complete plumbing systems for the Project, as shown and specified in the Subcontract Documents. The scope includes, without limitation, the Work described in Specification Divisions 22 and 23.

2.2 Included Items. The Subcontract Work includes:

(a) shop drawings, product data and coordination drawings, including BIM clash coordination with the fire sprinkler and electrical trades;

(b) sheet metal ductwork, flexible duct, diffusers, grilles, registers and fire/smoke dampers under Sections 23 31 13 and 23 37 13;

(c) replacement of two (2) packaged rooftop units, including curbs and adapters, under Section 23 74 13;

(d) direct digital controls and integration with the base building system under Section 23 09 23;

(e) domestic water, sanitary waste and vent piping, and plumbing fixtures and trim under Sections 22 11 16, 22 13 16 and 22 40 00;

(f) testing, adjusting and balancing by an independent NEBB- or AABC-certified agency under Section 23 05 93; and

(g) operation and maintenance manuals, as-built drawings, warranties and Owner training.

2.3 Excluded Items. The Subcontract Work excludes line-voltage power wiring to equipment terminals, structural steel framing for roof openings exceeding 24 inches in either dimension, and the fire sprinkler system. Each of these is provided by others.

2.4 Permits and Inspections. Subcontractor will obtain and pay for all City of Austin mechanical and plumbing trade permits and will schedule all related inspections.

ARTICLE 3 — SUBCONTRACT SUM

3.1 Amount. Contractor will pay Subcontractor, for full and complete performance of the Subcontract Work, the stipulated sum of Three Hundred Sixty Thousand and No/100 Dollars ($360,000.00) (the "Subcontract Sum"). The Subcontract Sum is subject to additions and deductions only by written modification under Article 9.

3.2 Taxes. The Subcontract Sum includes all applicable sales, use and other taxes on the Subcontract Work. Subcontractor will cooperate with Contractor in documenting the separated contract treatment of materials for Texas sales tax purposes.

3.3 Schedule of Values. The Subcontract Sum is allocated in the Schedule of Values attached as the Exhibit. Subcontractor will not front-load any line item. Contractor may require Subcontractor to further break down any line item if the Architect requests it.

ARTICLE 4 — TIME AND SCHEDULE

4.1 Commencement and Duration. Subcontractor will mobilize within five (5) working days after Contractor's written notice to proceed. Subcontractor will perform the Subcontract Work in accordance with Contractor's project schedule as updated from time to time. Time is of the essence of this Subcontract.

4.2 Coordination. Subcontractor will attend weekly coordination meetings and will furnish manpower sufficient to meet the schedule. Subcontractor will coordinate its Work with Owner's building engineer for all shutdowns of base building systems. Each shutdown requires at least seventy-two (72) hours' advance written notice and must be performed after normal business hours where the building rules require it.

4.3 Delays. If Subcontractor is delayed by causes beyond its control and without its fault, Subcontractor is entitled to an extension of time. To obtain an extension, Subcontractor must give written notice to Contractor within five (5) days after the delay begins. Subcontractor may recover delay damages only to the extent Contractor actually recovers them from Owner on Subcontractor's behalf.

ARTICLE 5 — PROGRESS PAYMENTS; PAY-IF-PAID

5.1 Applications for Payment. On or before the 20th day of each month, Subcontractor will submit to Contractor an application for payment on Contractor's form. Each application must cover Subcontract Work performed through the end of that month, measured against the Schedule of Values. Each application must include the conditional lien waivers required by Article 7, together with the unconditional lien waivers for the preceding payment.

5.2 CONDITION PRECEDENT: PAY-IF-PAID. CONTRACTOR'S RECEIPT OF PAYMENT FROM OWNER FOR THE SUBCONTRACT WORK IS AN EXPRESS CONDITION PRECEDENT TO CONTRACTOR'S OBLIGATION TO MAKE ANY PAYMENT TO SUBCONTRACTOR UNDER THIS SUBCONTRACT, INCLUDING EVERY PROGRESS PAYMENT, RETAINAGE AND FINAL PAYMENT. CONTRACTOR HAS NO OBLIGATION TO PAY SUBCONTRACTOR FOR ANY PORTION OF THE SUBCONTRACT WORK UNLESS AND UNTIL CONTRACTOR HAS ACTUALLY RECEIVED PAYMENT FROM OWNER FOR THAT WORK. SUBCONTRACTOR EXPRESSLY ASSUMES THE RISK OF OWNER'S NONPAYMENT, INCLUDING NONPAYMENT CAUSED BY OWNER'S INSOLVENCY. THIS IS A PAY-IF-PAID CLAUSE AND IS NOT MERELY A PROVISION FIXING THE TIME OF PAYMENT.

5.3 Agreement in Writing. Contractor and Subcontractor each acknowledge that they have read Section 5.2. Each agrees that Section 5.2 was specifically negotiated and agreed to in writing as part of this Subcontract. Subcontractor acknowledges that it had the opportunity to review Section 5.2 with counsel before signing.

5.4 Time of Payment. When Contractor receives payment from Owner for Subcontract Work, Contractor will pay Subcontractor within thirty (30) days after Contractor's receipt of that payment. The amount paid will be the amount allowed for the Subcontract Work in that payment, less retainage under Article 6 and any amounts withheld under Article 8.

5.5 Limits on Enforcement. Contractor will not invoke Section 5.2 to the extent Owner's nonpayment results from Contractor's own failure to perform its obligations under the Prime Contract, unless that failure was caused by Subcontractor. Upon Subcontractor's written request, Contractor will give Subcontractor written notice of any nonpayment by Owner. Contractor will also use reasonable efforts, at Subcontractor's expense as to Subcontractor's share, to pursue collection from Owner of amounts due for the Subcontract Work.

5.6 No Acceptance. No progress payment constitutes acceptance of defective or nonconforming Subcontract Work.

ARTICLE 6 — RETAINAGE AND FINAL PAYMENT

6.1 Retainage. Contractor will retain ten percent (10%) of each progress payment otherwise due to Subcontractor as retainage.

6.2 Release of Retainage. Retainage becomes due upon two events: Final Completion of the Subcontract Work, and Contractor's receipt from Owner of the retainage attributable to the Subcontract Work. Contractor will pay the retainage within thirty (30) days after both events have occurred. Contractor's receipt of retainage from Owner is a condition precedent to release of retainage to Subcontractor, as provided in Section 5.2.

6.3 Final Payment Submittals. Before retainage and final payment are released, Subcontractor must deliver all of the following to Contractor:

(a) as-built drawings, O&M manuals and executed warranties;

(b) the final certified testing, adjusting and balancing report;

(c) evidence of Owner training; and

(d) the final lien waivers required by Article 7, including those from every lower-tier subcontractor and supplier.

6.4 Waiver of Claims. Subcontractor's acceptance of final payment waives all claims by Subcontractor except claims Subcontractor previously made in writing that remain unsettled.

ARTICLE 7 — LIEN WAIVERS AND RELEASES

7.1 Statutory Forms Required. Every waiver and release under this Subcontract must be in substantially the applicable form prescribed by Texas Property Code Section 53.284. Each waiver must also be executed as required by Subchapter L of Chapter 53 of the Texas Property Code. Contractor will reject any waiver that is not on the applicable statutory form.

7.2 Conditional Waivers Before Progress Payment. As a condition of each progress payment, Subcontractor will deliver, with its application for payment, a Conditional Waiver and Release on Progress Payment covering the amount requested.

7.3 Unconditional Waivers After Payment. Within ten (10) days after Subcontractor receives each progress payment, Subcontractor will deliver an Unconditional Waiver and Release on Progress Payment covering the amount received. Contractor may withhold the next progress payment until it receives that unconditional waiver.

7.4 Final Waivers. With its final application, Subcontractor will deliver a Conditional Waiver and Release on Final Payment. Within ten (10) days after receipt of final payment, Subcontractor will deliver an Unconditional Waiver and Release on Final Payment.

7.5 Lower-Tier Waivers. Subcontractor will obtain lien waivers from each of its lower-tier subcontractors and material suppliers and deliver them to Contractor. Those waivers must be on the same statutory forms and on the same conditional and unconditional schedule that applies to Subcontractor. Contractor may withhold payment for any portion of the Subcontract Work for which a required lower-tier waiver has not been delivered.

7.6 Discharge of Liens. If any lien affidavit is filed or claim made against the Project, Owner, Contractor or Contractor's surety on account of the Subcontract Work, Subcontractor will cause it to be released or bonded around under Chapter 53 within ten (10) days after notice. Subcontractor will bear all related costs, including reasonable attorneys' fees.

ARTICLE 8 — WITHHOLDING, BACKCHARGES AND SETOFF

8.1 Backcharges and Setoff. Contractor may back-charge Subcontractor for any cost Contractor incurs because of Subcontractor's failure to perform under this Subcontract. Such costs include cleanup, damage repair, schedule recovery and supplementation of Subcontractor's forces after notice under Article 13. Contractor may set off any back-charge, and any other amount Subcontractor owes Contractor, against any sum otherwise due to Subcontractor under this Subcontract. Contractor will give Subcontractor written notice and supporting documentation of each back-charge before taking the setoff.

8.2 Withholding for Defective Work. Contractor may withhold from any payment an amount sufficient to cover the reasonable cost of correcting defective or nonconforming Subcontract Work. Contractor may continue to withhold that amount until the Work has been corrected and accepted.

8.3 Other Grounds. Contractor may also withhold payment for any of the following:

(a) unpaid claims of Subcontractor's lower tiers;

(b) failure to deliver lien waivers required by Article 7; and

(c) reasonable evidence that the Subcontract Work cannot be completed for the unpaid balance of the Subcontract Sum.

8.4 Release of Withheld Amounts. Contractor will release amounts withheld under this Article in the next payment cycle after the grounds for withholding have been removed. That release remains subject to Section 5.2.

ARTICLE 9 — CHANGES IN THE WORK

9.1 Directed Changes. Contractor may order additions, deletions or other changes to the Subcontract Work by written change order or written construction change directive. Subcontractor will proceed with all directed changes promptly.

9.2 Pricing. Subcontractor will submit itemized pricing for each change within seven (7) days after request. Markup on Subcontractor's own direct cost is limited to ten percent (10%) for overhead and profit combined. Markup on lower-tier subcontracted work is limited to five percent (5%).

9.3 Claims. Subcontractor must give written notice of any claim for additional time or compensation within seven (7) days after the event giving rise to the claim. Subcontractor's failure to give timely notice waives the claim to the extent Contractor is prejudiced. Subcontractor may not perform extra work without written authorization.

ARTICLE 10 — WARRANTY AND CORRECTION OF WORK

10.1 Warranty. Subcontractor warrants that all materials and equipment will be new and of the quality specified, and that the Subcontract Work will be free from defects in materials and workmanship and will conform to the Subcontract Documents. This warranty runs for one (1) year after Substantial Completion of the Project, or for any longer period required by the Specifications.

10.2 Correction. Subcontractor will correct defective or nonconforming Subcontract Work at its own expense within five (5) working days after notice, or immediately in an emergency. If Subcontractor fails to do so, Contractor may correct the Work and recover the cost under Article 8.

10.3 Manufacturer Warranties. Subcontractor will assign to Owner all manufacturer warranties for rooftop units, controls and plumbing fixtures. Subcontractor will register those warranties in Owner's name.

ARTICLE 11 — INSURANCE AND INDEMNITY

11.1 Insurance. Before beginning the Subcontract Work, Subcontractor will provide certificates showing coverage at not less than the following limits:

(a) commercial general liability of $1,000,000 per occurrence and $2,000,000 aggregate, including completed operations;

(b) business automobile liability of $1,000,000 combined single limit;

(c) workers' compensation as required by Texas law, with employer's liability of $1,000,000; and

(d) umbrella liability of $2,000,000.

Contractor, Owner and the Architect must be named as additional insureds on primary and non-contributory endorsements. Subcontractor will maintain completed operations coverage for at least two (2) years after Final Completion.

11.2 Indemnity. To the fullest extent permitted by Texas law, including Chapter 151 of the Texas Insurance Code, Subcontractor will defend, indemnify and hold harmless Contractor, Owner, and their officers and employees from claims, damages, losses and expenses arising out of the performance of the Subcontract Work. This obligation applies only to the extent the claim is caused by the negligence or other fault of Subcontractor, its lower tiers, or anyone for whose acts they are responsible. Nothing in this Section requires Subcontractor to indemnify any party against that party's own negligence except as Texas law permits.

ARTICLE 12 — SAFETY, SITE CONDITIONS AND COMPLIANCE

12.1 Safety. Subcontractor will comply with OSHA regulations, Contractor's site safety program and the building rules of 800 Congress Avenue. Subcontractor will designate a competent person on site at all times when its forces are working. Hot work requires a permit from Contractor and Owner's building engineer.

12.2 Occupied Building. The Project is located within an occupied office building. Subcontractor will control noise, odors and dust. Subcontractor will use only the designated freight elevator and loading dock. Subcontractor will protect adjacent tenant areas from damage.

12.3 Laws. Subcontractor will comply with all federal, state and local laws applicable to the Subcontract Work, including the City of Austin mechanical and plumbing codes and the Texas Accessibility Standards as they apply to plumbing fixtures.

ARTICLE 13 — DEFAULT AND TERMINATION

13.1 Notice to Cure. If Subcontractor fails to perform any obligation of this Subcontract, Contractor may give written notice. If Subcontractor fails to begin a cure within forty-eight (48) hours and diligently complete it, Contractor may take either or both of the following actions:

(a) supplement Subcontractor's forces; or

(b) terminate Subcontractor's right to proceed with all or part of the Subcontract Work.

In either case, Contractor may charge Subcontractor for the excess cost of completion.

13.2 Termination for Convenience. Contractor may terminate this Subcontract for convenience on written notice if Owner terminates the Prime Contract or for any other reason. In that event, Subcontractor will be paid for Subcontract Work properly performed through the termination date, plus reasonable demobilization costs. Subcontractor will not be paid anticipated profit on unperformed Work. Any such payment remains subject to Section 5.2.

13.3 Suspension. Contractor may suspend the Subcontract Work by written notice. Subcontractor will receive an equitable adjustment for suspension not caused by Subcontractor, to the extent Contractor recovers that adjustment from Owner.

ARTICLE 14 — GOVERNING LAW AND DISPUTE RESOLUTION

14.1 Governing Law. This Subcontract is governed by the laws of the State of Texas, without regard to conflict-of-laws principles. Contractor's organization under California law does not change this choice of law.

14.2 Negotiation and Mediation. The parties will first attempt to resolve any dispute through good-faith negotiation between principals. If negotiation fails, the parties will submit the dispute to non-binding mediation in Austin, Texas before either party files suit. The parties will share the mediator's fees equally.

14.3 Venue. Any action arising out of this Subcontract will be brought in the state district courts of Travis County, Texas.

14.4 Joinder. If a dispute involves Owner, Subcontractor agrees to be joined in any proceeding between Contractor and Owner. Subcontractor will be bound by the result to the extent the result concerns the Subcontract Work.

14.5 Continued Performance. Pending resolution of any dispute, Subcontractor will continue to perform the Subcontract Work.

ARTICLE 15 — GENERAL PROVISIONS

15.1 Assignment. Subcontractor may not assign this Subcontract or subcontract the whole of the Subcontract Work without Contractor's written consent. Contractor may assign this Subcontract to Owner if the Prime Contract is terminated.

15.2 Notices. Notices must be in writing and delivered by hand, by nationally recognized overnight courier, or by email with confirmation. Notices must be addressed to the addresses stated in the preamble, to the attention of each party's signatory.

15.3 Entire Agreement. This Subcontract, together with the other Subcontract Documents, is the entire agreement between the parties as to the Subcontract Work. It supersedes all prior proposals and understandings. It may be amended only by a writing signed by both parties.

15.4 Severability. If any provision of this Subcontract is held unenforceable, the remaining provisions remain in effect. The unenforceable provision will be enforced to the maximum extent permitted by law.

15.5 Counterparts. This Subcontract may be executed in counterparts and by electronic signature. Each counterpart is deemed an original.

IN WITNESS WHEREOF, Contractor and Subcontractor have executed this Subcontract by their duly authorized representatives as of the Effective Date. Each signatory represents that he or she has authority to bind the party for which he or she signs. Each party specifically acknowledges the pay-if-paid condition precedent in Section 5.2.

MERIDIAN BUILDERS, INC. By: _____ Name: Dana R. Whitcomb Title: Vice President, Operations Date: March 16, 2026

LONE STAR MECHANICAL, LLC By: _____ Name: Ernesto J. Villarreal Title: Managing Member Date: March 16, 2026

EXHIBIT — SCHEDULE OF VALUES

Line	Description	Scheduled Value
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1	Mobilization and submittals	$18,000.00
2	Ductwork and air distribution	$120,000.00
3	Rooftop units and controls	$110,000.00
4	Plumbing rough-in and fixtures	$82,000.00
5	Testing, balancing and closeout	$30,000.00
	Subcontract Sum	**$360,000.00**

Fictional contract generated for the Groundwork demo. Not legal advice. No real parties.